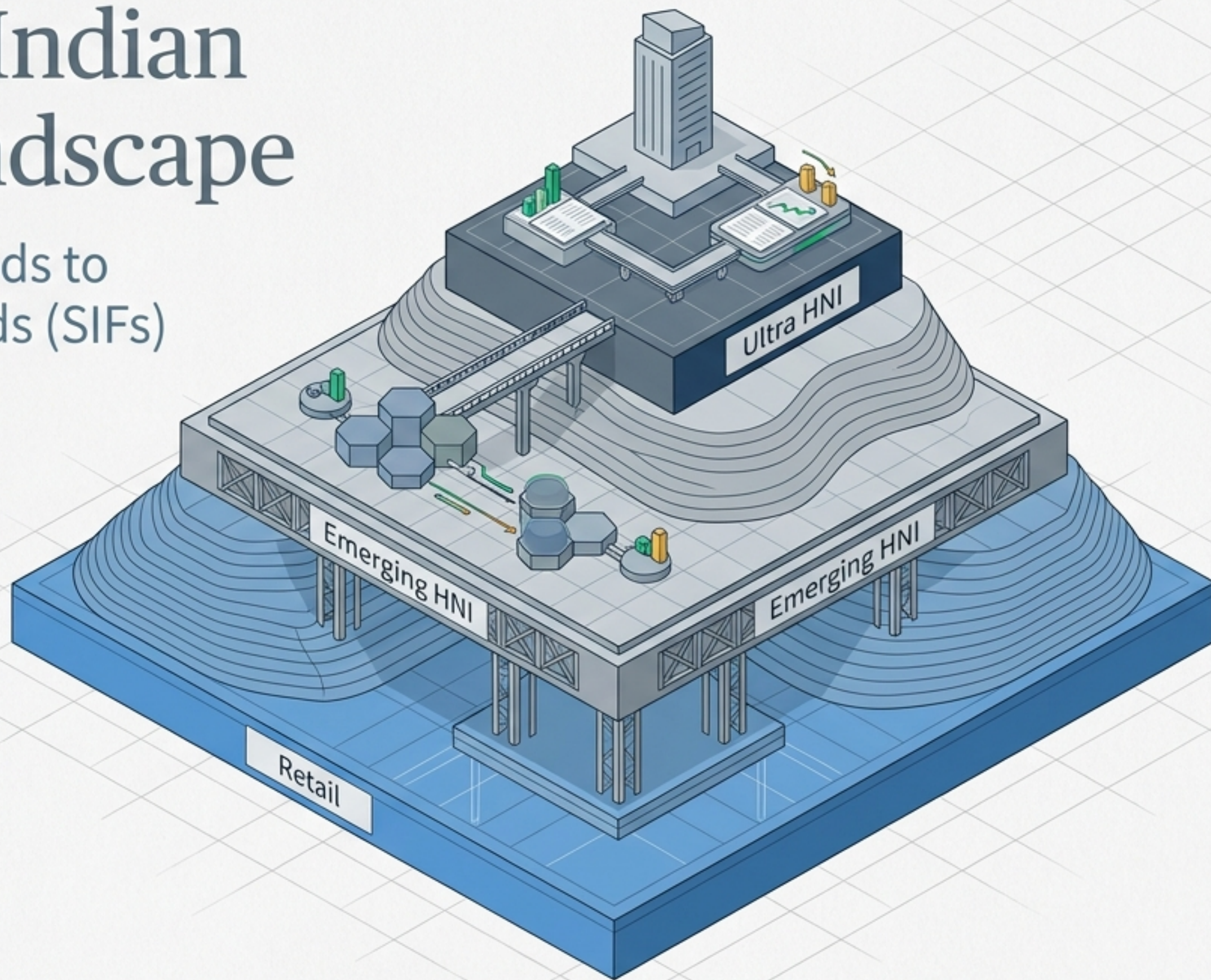


Navigating the Indian Investment Landscape

From Traditional Mutual Funds to
Specialized Investment Funds (SIFs)



The Wealth Topography

Mutual Funds (MFs)

Minimum: ₹100 (via SIP)

Highly liquid, long-only, retail foundation.

Specialized Investment Funds (SIFs)

Minimum: ₹10 Lakh

Advanced strategies, limited shorting, Emerging HNI bridge.

Portfolio Management Services (PMS)

Minimum: ₹50 Lakh

Customized portfolios, direct stock ownership.

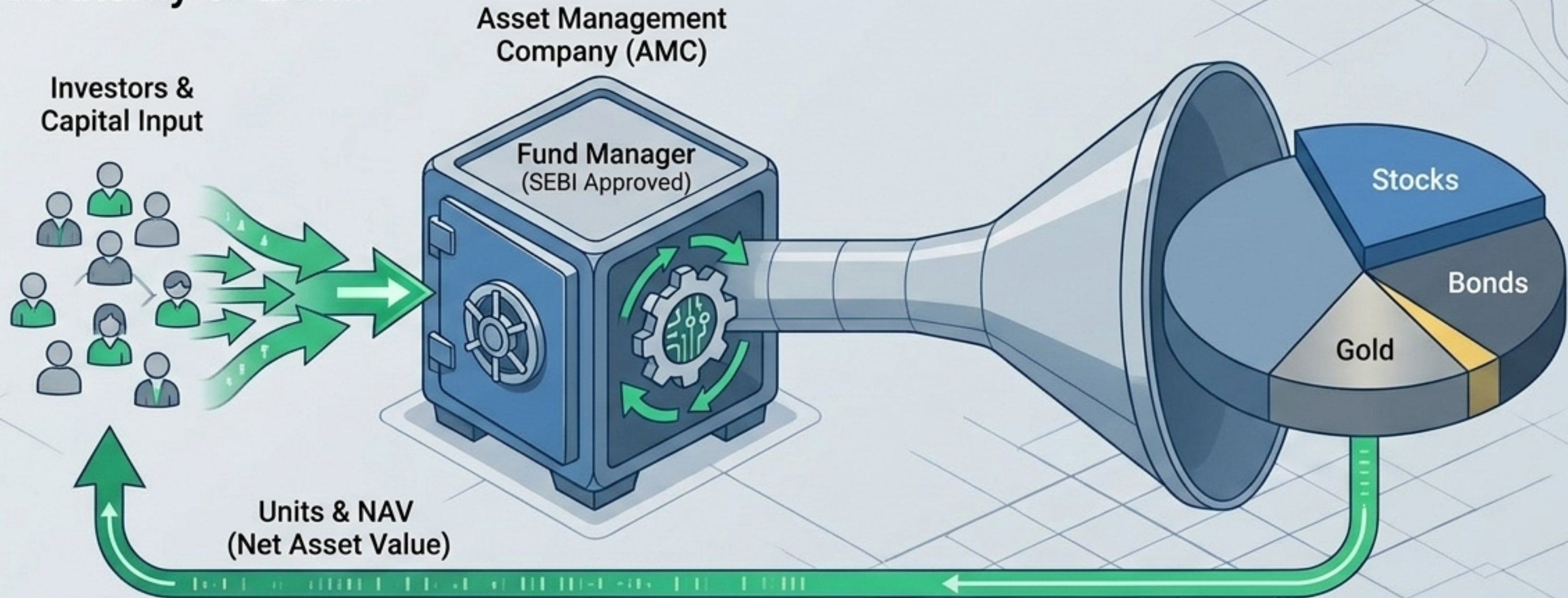
Alternative Investment Funds (AIF)

Minimum: ₹1 Crore+

Highly complex, leverage permitted, illiquid.

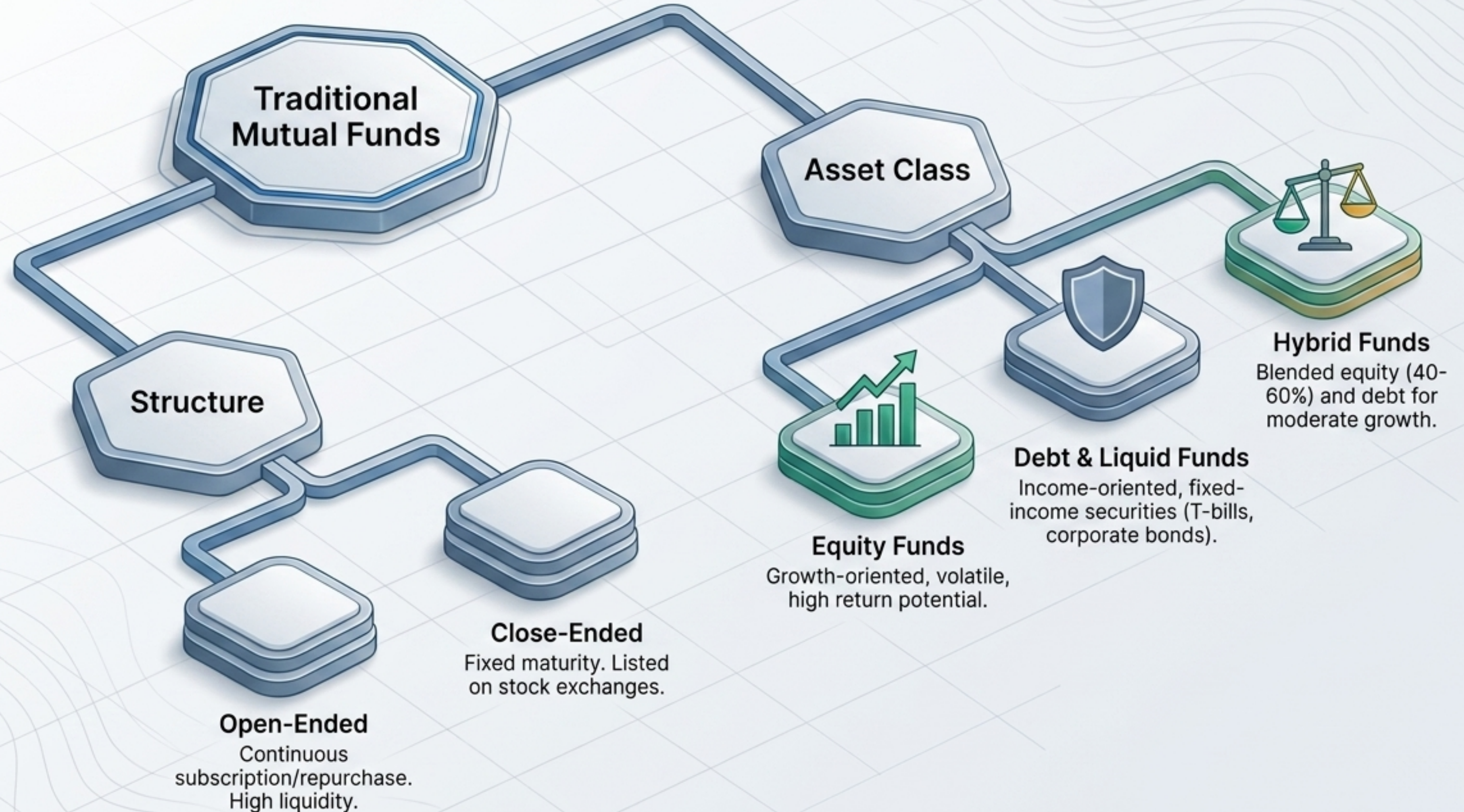
Traditional Mutual Funds: The Foundation

Anatomy of an MF



The Power of Pooling: Spreading risk across a wide cross-section of industries, heavily regulated by SEBI to protect the retail investor.

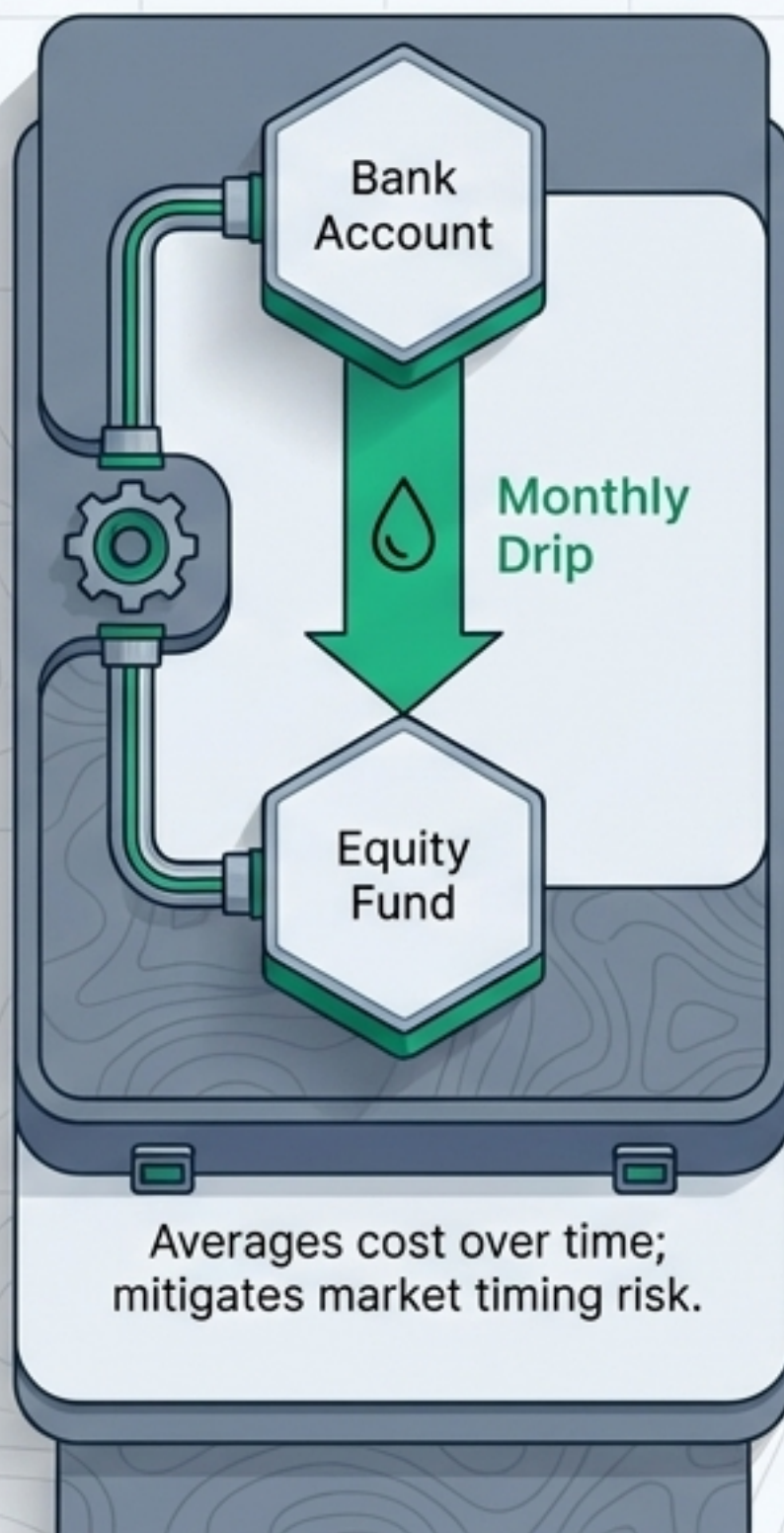
Categorizing Mutual Funds



Mechanics of Investing: SIP, STP, SWP

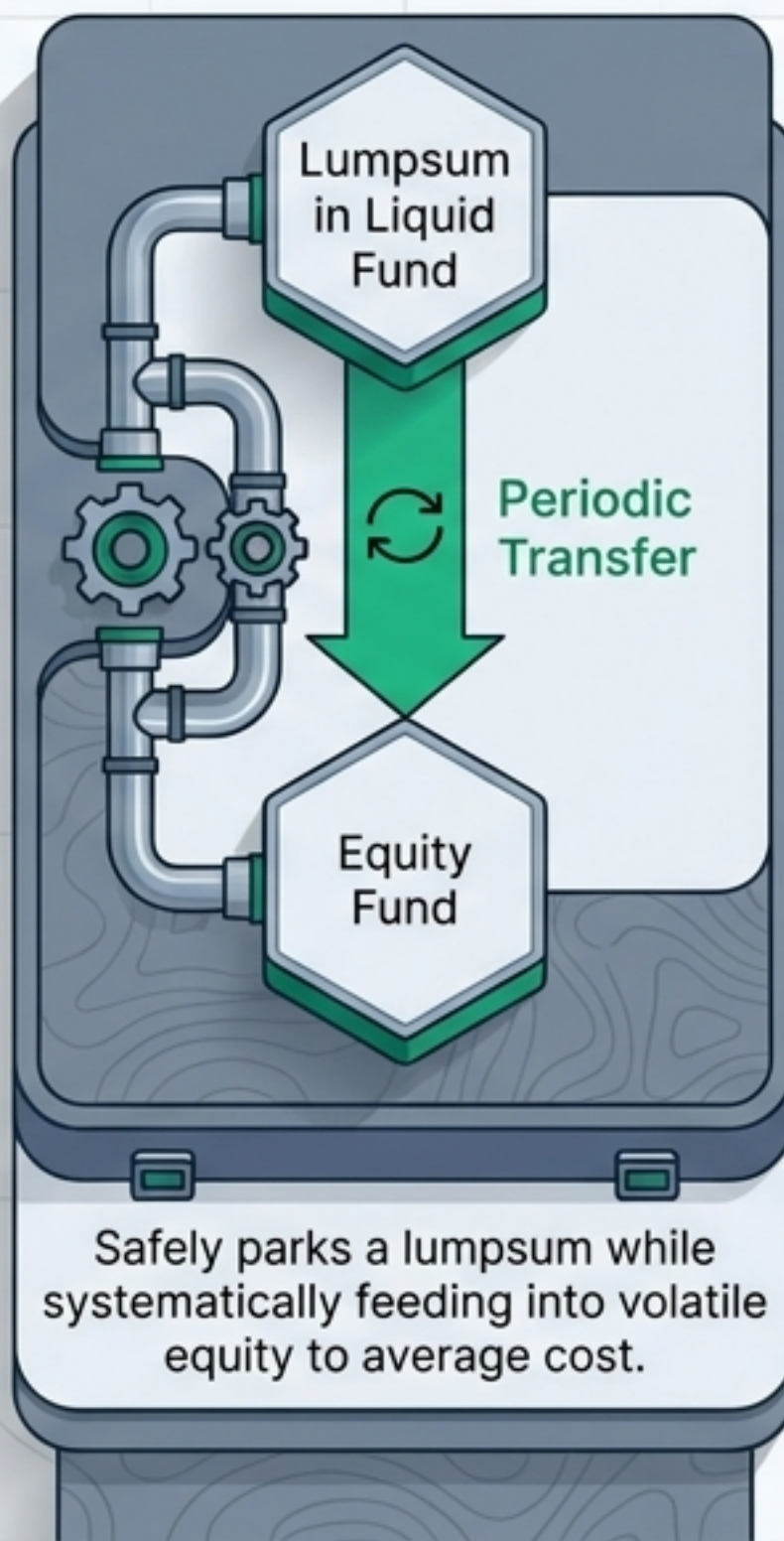
SIP

(Systematic Investment Plan)



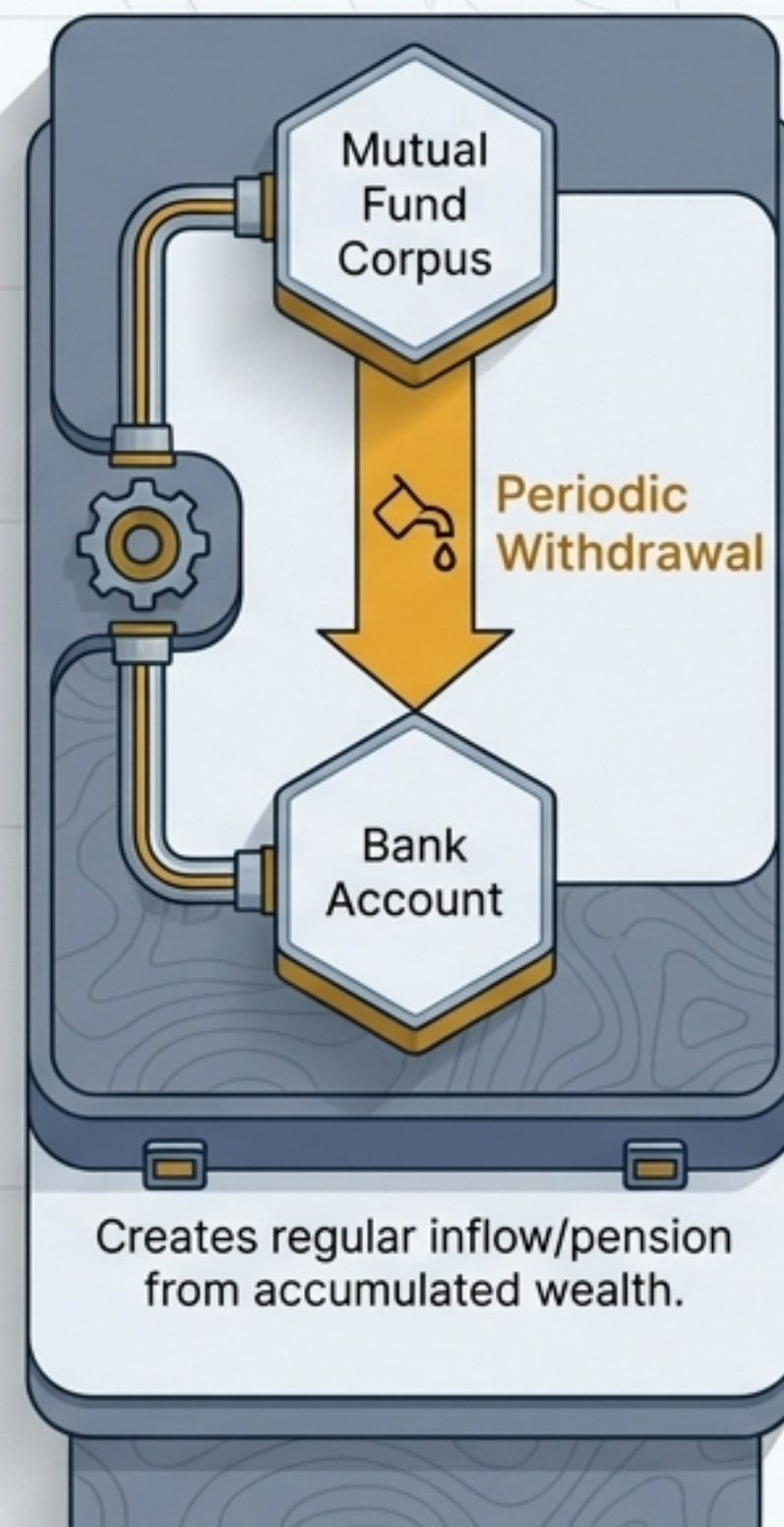
STP

(Systematic Transfer Plan)



SWP

(Systematic Withdrawal Plan)



Special Focus: Tax Savings & Passive Strategies



Equity Linked Savings Scheme (ELSS)

Mechanics

Deductions under Section 80C (Old Tax Regime).

Trade-off

Mandatory 3-year lock-in period. Growth-oriented equity risk.



Indexing & ETFs

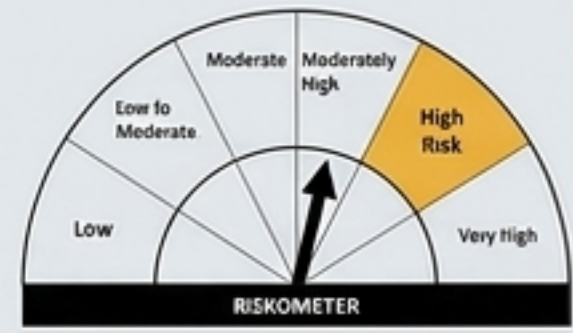
Mechanics

Replicates a benchmark (e.g., Nifty 50). Eliminates fund manager bias.

Trade-off

Will not beat the market, but features ultra-low Total Expense Ratios (TER). ETFs trade live on exchanges.

Traditional MFs: Pros, Cons & Suitability



Pros

-  Highly accessible (₹100 SIPs)
-  Maximum liquidity (T+1/T+2 settlement)
-  Strictly regulated framework
-  Highly transparent daily NAV

Cons

-  Strictly Long-Only (cannot profit from falling markets)
-  Rigid mandates
-  No bespoke customization

Suitability Profile

Target: Retail to Mass Affluent.

Goal: Long-term wealth compounding, inflation-beating growth, hands-off management.

The Structural Gap

Traditional Mutual Funds

Crowded, highly accessible, but constrained by rigid long-only rules.

High Accessibility

Rigid Mandates

The Structural Void

PMS & AIF

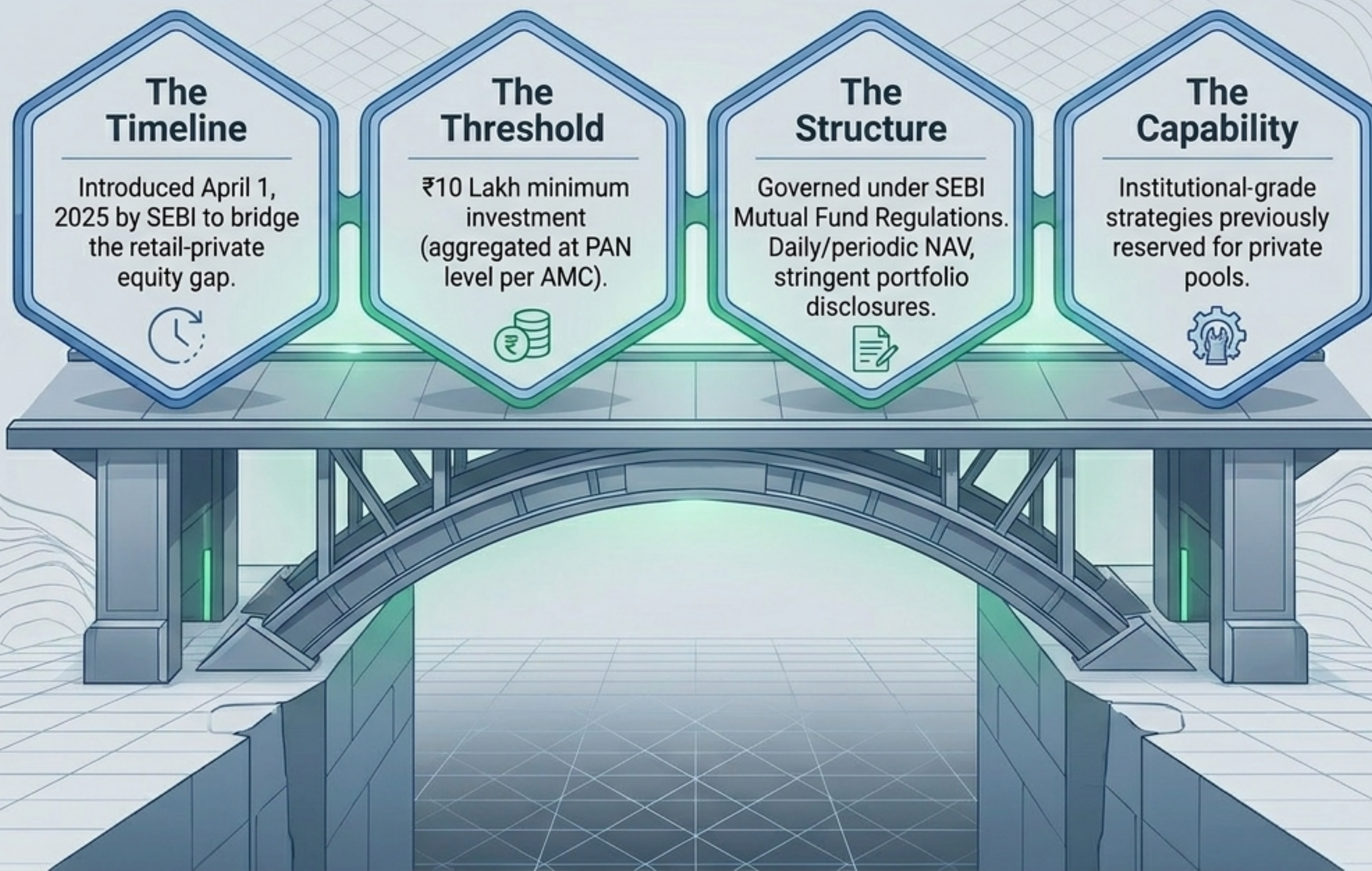
Exclusive, customized, and flexible, but requires ₹50 Lakh to ₹1 Crore.

Bespoke Customization

High Entry Barrier

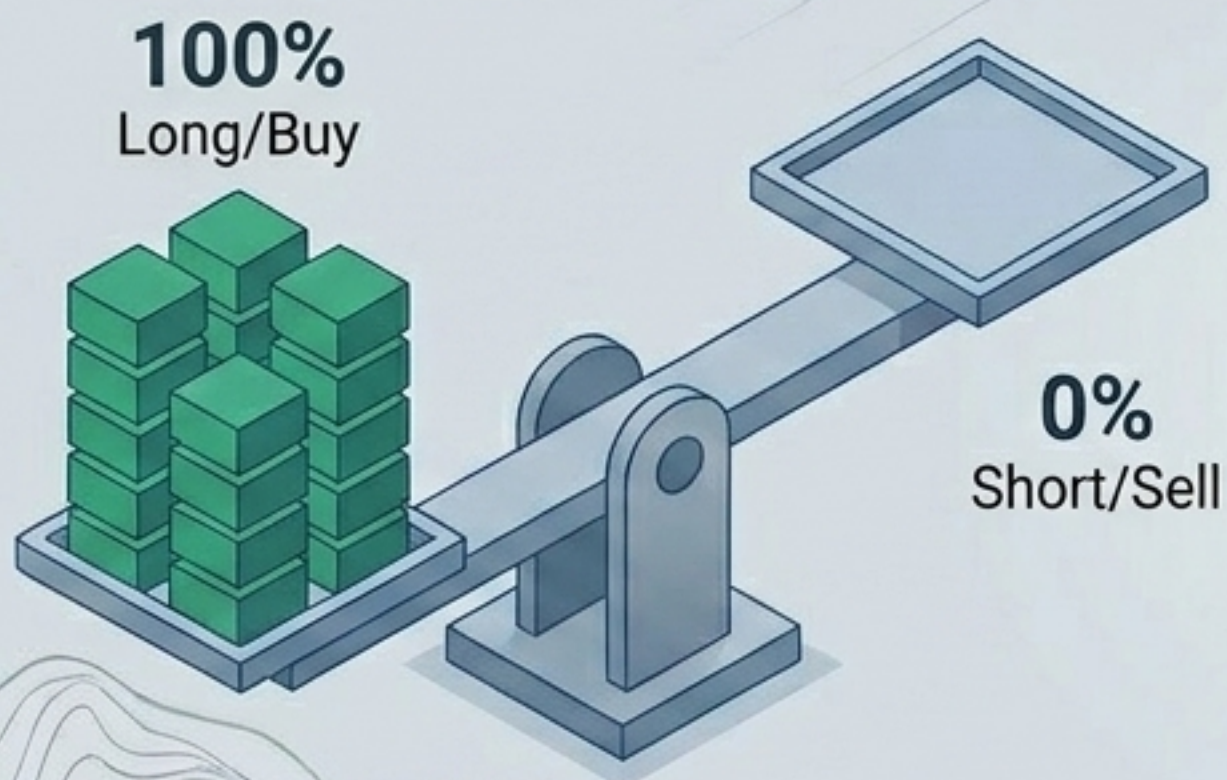
Emerging High-Net-Worth Individuals possess ₹10L - ₹25L. They have outgrown simple long-only mutual funds and demand sophisticated downside protection, but are locked out of the ₹50L minimum PMS market.

Enter SIFs: Specialized Investment Funds



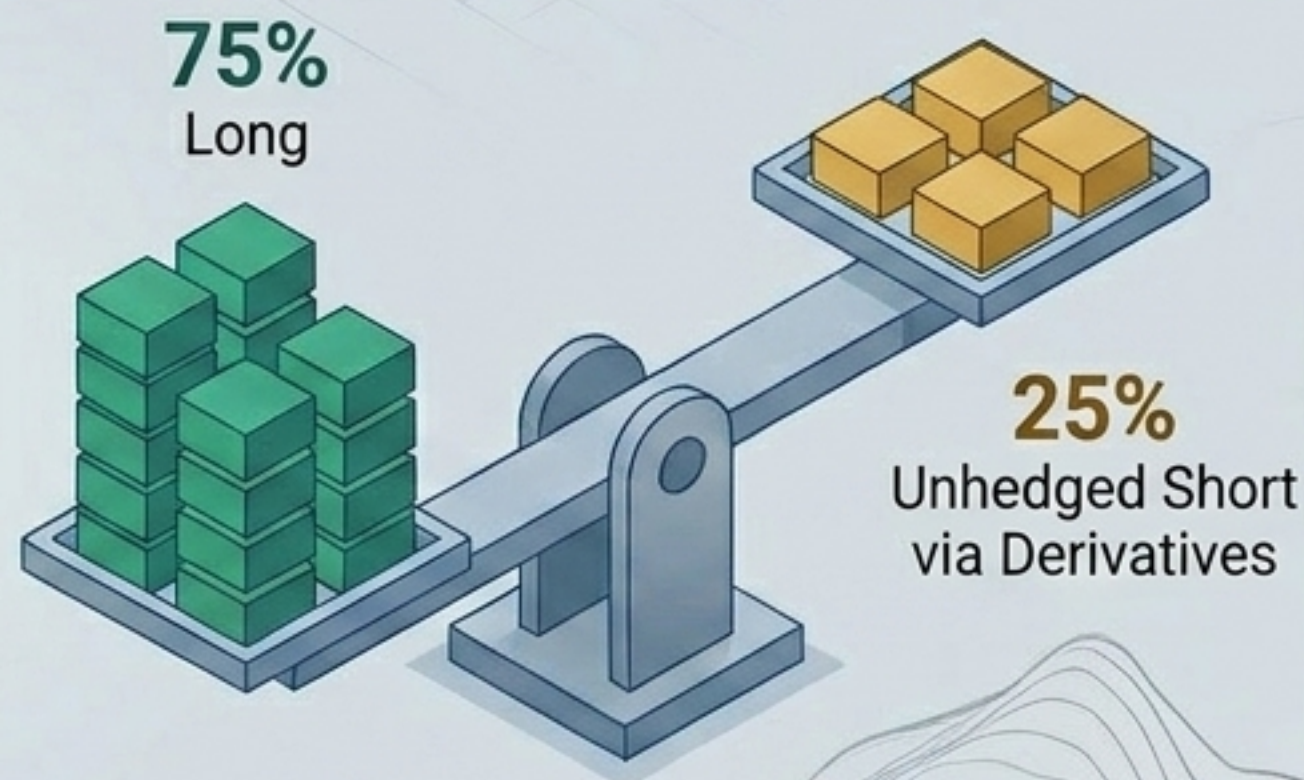
The SIF Superpower: Unhedged Derivatives

Traditional MF



Profits only when markets rise.
Vulnerable to crashes.

The SIF Superpower



$$\begin{array}{c} 75\% \\ \text{Long} \end{array} + \begin{array}{c} 25\% \\ \text{Short} \end{array} = \begin{array}{c} 100\% \\ \text{Max Gross Exposure.} \end{array}$$

The Downside Buffer.
Allows fund managers to capture alpha and hedge against market corrections by profiting from declining assets.

The SIF Strategy Playbook

Equity Long-Short



Mandate



Minimum 80% in listed equities. Up to 25% short via derivatives.

Objective

→ Capture directional alpha; short declining industries while holding growth stocks.



Sector Rotation



Mandate



Dynamic shifting across economic cycles. Max 75% single-sector exposure for debt variants.

Objective

→ Exploit macroeconomic shifts. Overweight booming sectors, short lagging ones.



Active Asset Allocator



Mandate



Interval fund structure. Blends equity, debt, commodity derivatives, and REITs.

Objective

→ Multi-asset rebalancing. Shifts capital fluidly to wherever risk-adjusted yield is highest.



SIFs: Pros, Cons & Suitability

Pros	Cons
 Downside risk mitigation	 Higher expense ratios than MFs
 Access to institutional long-short strategies	 Complex derivative risks
 Highly regulated SEBI framework	 Restricted liquidity (AMCs can impose up to 15-day notice periods)
 80% cheaper entry than PMS (₹10L vs ₹50L)	

Suitability Profile



Target: Emerging HNIs & Sophisticated Investors.



Goal: Alpha generation, downside hedging across market cycles (3-5+ year horizon).

Investments in Specialized Investment Fund involves relatively higher risk including potential loss of capital, liquidity risk and market volatility...

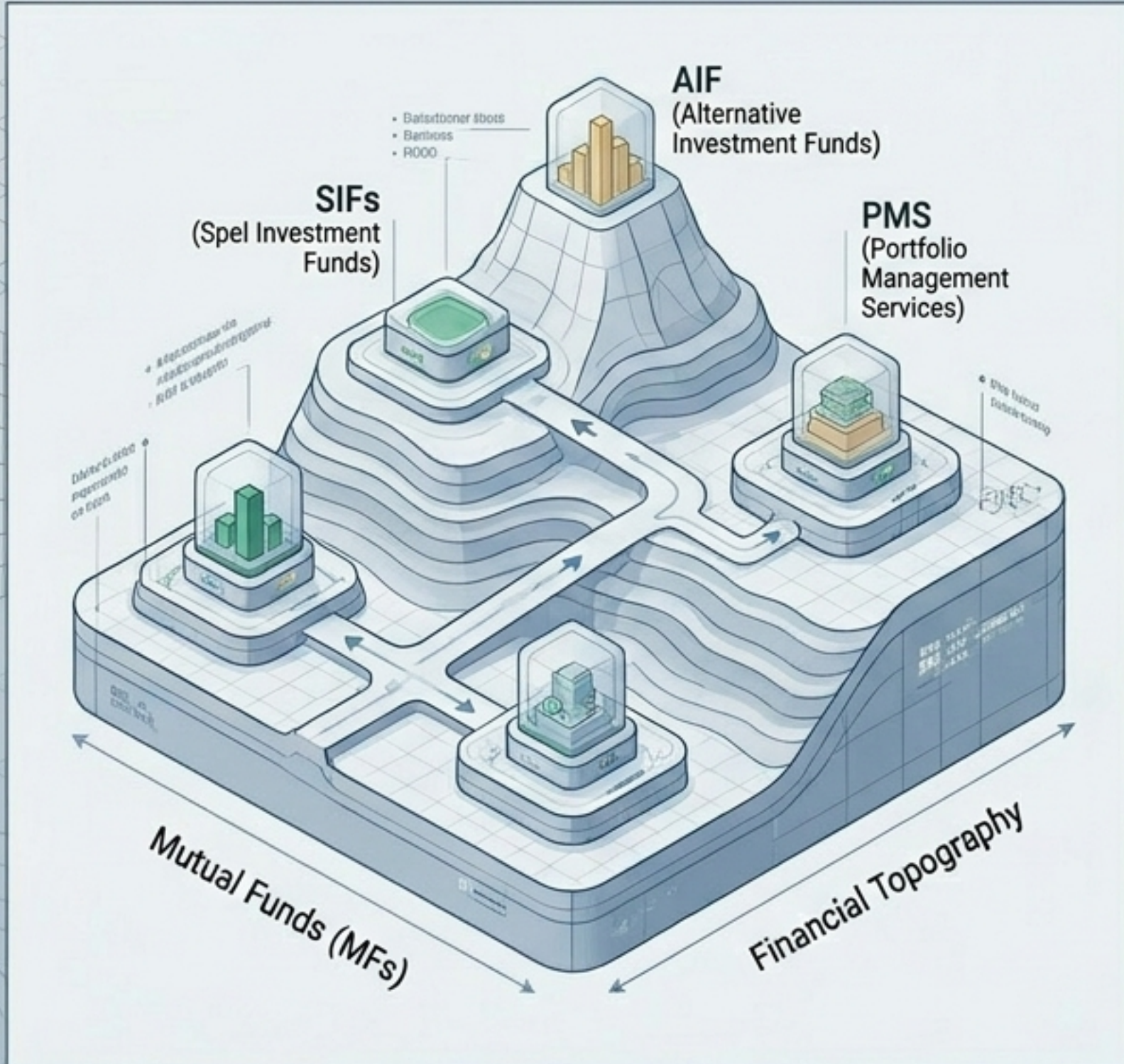
The Master Comparison Matrix

	Traditional MF	SIF	PMS
Minimum Ticket	₹100	₹10 Lakh (PAN-level)	₹50 Lakh
Regulatory Body	SEBI MF Regs	SEBI MF Regs - Chapter IV	SEBI PMS Regs
Short Selling	Not Allowed ❌	Up to 25% Unhedged ⚠️	Mandate dependent
Liquidity	Daily/High	Notice periods up to 15 days/Intervals	Subject to exit loads/portfolio liquidity
Customization	None - Pooled	None - Pooled Strategy	High - Bespoke ✅

Investor Suitability Diagnostic Tree



Key Takeaways



■ The Landscape is Complete

SIFs successfully bridge the historical void between retail MFs and ultra-HNI PMS, democratizing institutional-grade strategies.

■ Risk Meets Regulation

By housing SIFs under the mutual fund framework, SEBI allows sophisticated derivative shorting while maintaining strict transparency and oversight.

■ Align Vehicle to Profile

Capital dictates access, but risk appetite dictates choice. Match your investment vehicle directly to your **liquidity** needs, tax strategy, and tolerance for market volatility.

